

# Meridian Dynamic Bond Fund - Scheme Information Document

**Scheme code:** FS-DB-007. An open-ended dynamic debt scheme investing across duration. A relatively high interest rate risk and moderate credit risk scheme.

## Investment Objective

To generate optimal returns through active management of a portfolio of debt and money market instruments across the yield curve. There is no assurance or guarantee that the investment objective of the scheme will be achieved.

## Key Scheme Details

| Item                 | Detail                                                           |
|----------------------|------------------------------------------------------------------|
| Benchmark            | FS Composite Bond Index (synthetic)                              |
| Fund manager         | Rohan Iyer (since 2020)                                          |
| Potential Risk Class | B-III (moderate credit risk, relatively high interest rate risk) |
| Riskometer           | Moderate                                                         |

## Asset Allocation Pattern

Under normal circumstances the asset allocation of the scheme will be as follows:

| Instrument                               | Minimum (%) | Maximum (%) | Risk profile   |
|------------------------------------------|-------------|-------------|----------------|
| Government securities and treasury bills | 0           | 100         | Low to Medium  |
| Corporate bonds rated AA and above       | 0           | 60          | Medium         |
| Money market instruments                 | 0           | 100         | Low            |
| Units of REITs and InvITs                | 0           | 10          | Medium to High |

The scheme may use interest rate derivatives for hedging and portfolio rebalancing up to 50% of net assets.  
The scheme will not invest in securitised debt or credit default swaps.

## **Investment Strategy**

The fund manager actively manages the portfolio's duration based on the outlook for interest rates, inflation and liquidity. The modified duration of the portfolio will normally be kept between 1 year and 8 years: it is lengthened when interest rates are expected to fall and shortened when rates are expected to rise.

Credit quality is managed conservatively. At least 70% of the portfolio will be invested in sovereign securities and AAA-rated instruments, and exposure to any single corporate issuer is limited to 10% of net assets.

## **Portfolio Construction Process**

Each month the investment committee reviews a macroeconomic framework covering policy rates, the fiscal deficit, government borrowing calendars and system liquidity, and sets a target duration band for the scheme.

## Risk Factors

**Interest rate risk:** bond prices fall when interest rates rise; schemes with longer duration are more sensitive.

**Credit risk:** an issuer may default on interest or principal payments. **Liquidity risk:** some corporate bonds trade infrequently and may have to be sold at a discount. **Reinvestment risk:** coupons may be reinvested at lower rates when interest rates fall.

Investors should note that the scheme's NAV can fall in periods of rising interest rates, such as the period from April to October 2022 in the synthetic dataset.

## Fees, Loads and Investment Limits

| Item                       | Detail                                           |
|----------------------------|--------------------------------------------------|
| Exit load                  | 0.25% if redeemed within 30 days; nil thereafter |
| Total expense ratio        | Direct plan 0.48%; Regular plan 1.12%            |
| Minimum lumpsum investment | Rs 5,000                                         |
| Minimum SIP                | Rs 500 per month (minimum 12 instalments)        |
| NAV disclosure             | Every business day by 11 pm                      |

This scheme information document is a synthetic sample created for the FinSense AI project and does not describe any real scheme.